

complaint

Mr and Mrs S have complained about Legal & General Insurance Limited (L&G)'s decision to settle a claim as a flood claim under Mr S's home insurance policy.

background

Mr S reported that water had run under his property and caused damage to a rear garden wall during a storm. There was very heavy rainfall in a short space of time which led to flash flooding in the area.

L&G settled Mr S's claim as a flood claim. Mr S believed it should have settled it as a storm claim. He's concerned about the impact of having a flood claim recorded against his property and the effect it will have on future premiums.

Our investigator thought L&G had correctly recorded the claim as a flood claim. But L&G had incorrectly told Mr S when it replied to his complaint that his property isn't considered a flood risk. L&G told us it can't guarantee Mr S's insurance won't be affected by his claim in the future. So for the loss of expectation, L&G said it would pay Mr S £100 compensation. Our investigator thought this was fair.

Mr S didn't agree. I've addressed his points in my findings.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

It isn't in dispute that there was sufficient rainfall within a short period of time to meet the definition of 'storm' in L&G's policy. However, this doesn't mean that Mr S's claim falls under this classification. In this case, I think the rainfall from the storm caused water to build up and flood. It's the flood of water that ran under Mr S's home that caused damage to their rear garden wall.

Mr S has provided a copy of an email he received from L&G's loss adjuster in June 2018. They said they would ask L&G to record the claim as a storm claim. But the loss adjuster was acting on delegated authority from L&G. It was for L&G as the insurer to make the final decision about whether a claim should be met and how it is recorded in line with the policy.

Mr S said that if he'd known L&G would record the claim as a flood claim, he would have withdrawn his claim. But Mr S also told us that it would have been too costly for him to halt the claim. And I think from the enquiries Mr S made with L&G he was aware from very early on that the claim might be recorded as a flood claim. The loss adjuster's preliminary report listed the damage as "*storm – flood*". Mr S said he was told over the phone in December 2018 that L&G had recorded the claim as a storm claim. This wasn't correct. L&G corrected its mistake in January 2019. I agree that L&G could have made it clearer sooner that it settled his claim as a flood claim. But I don't think this changes the outcome.

Mr S provided a copy of a news article from our website. It refers to a court case about a flood claim. The circumstances of the incident are similar to Mr S's. Our approach in relation to the court case was that it was possible for a flood to happen due to a slow steady build-up of water as well as suddenly.

Mr S interpreted our approach to mean that a flood can only be considered a flood if it enters a property and causes damage. But just as a storm doesn't always cause damage, we don't consider that a flood always has to cause damage. We look at whether an event occurred and then we consider whether the event caused damage and if the insurer acted reasonably.

Mr S says that he initially thought the water had come from a neighbour's boundary. He reported to the loss adjuster shortly after that this wasn't the case. He believes the new information he provided is significant. But I don't think it made a difference to L&G's decision to record the claim as a flood claim. L&G's policy doesn't give a definition of the term 'flood'. But it told Mr S that L&G defines flood as;

"water, from any source external to a building which enters a building: (a) at or below ground level, or above ground level, provided that part of the body of such water is at ground level: (b) does so with volume, weight or force which is substantial and abnormal."

L&G's policy says Mr S's buildings are insured against loss or damage caused by floods. It includes garden walls as buildings under the policy.

In Mr S's case, the flood water came from heavy rainfall during a storm. If for example the heavy rainfall had caused damage to the roof of his home, this would have been classed as storm related damage in line with L&G's policy. The source of the damage was the heavy rainfall during the storm. But it wasn't the rainfall itself that caused damage.

I think L&G made a mistake when it replied to Mr S's complaint. Mr S will need to declare to future insurers if asked that he's had a flood claim. And it therefore could impact on his premium in future. For this error, I think L&G's offer to pay compensation of £100 is reasonable.

I understand Mr and Mrs S will be disappointed with my decision. But I think L&G has correctly recorded the claim as a flood claim.

my final decision

My final decision is that I uphold this complaint in part. I require Legal & General Insurance Limited to pay Mr S £100 compensation for providing incorrect information about the impact the recording of a flood claim might have on Mr S's insurance in future.

Legal & General Insurance Limited must pay the compensation within 28 days of the date on which we tell it Mr and Mrs S accepts my final decision. If it pays later than this it must also pay interest on the compensation from the date of my final decision to the date of payment at a simple rate of 8% a year.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs S to accept or reject my decision before 26 April 2020.

Geraldine Newbold
ombudsman